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MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION MARCH 2025

SECOND SEMESTER

Core Course (CC) - MG2CCRBBA101 - MARKETING MANAGEMENT

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember (K), Understand (U), Apply (A), Analyse (An), Evaluate (E), Create (C), Skill (S), Interest (I)and Appreciation (Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Short Answer Questions (four to five sentences)

A choice between two options for each question, answer five short answer questions, one from each pair

1a. Define Marketing Management. [K] / [CO1]
(3 marks can be given for ANY definition mentioning the source of the definition, and 2 marks for explaining the concept of marketing.)

Common Definitions:
Marketing management is the art and science of choosing target markets and building profitable relationships with them.
--Philip Kotler
"Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large."
– American Marketing Association,

1b. Explain the concept of the macro environment in marketing. [U] / [CO1]
(Full marks can be given two a one-line explanation of the term and listing of atleast two factors).

The macro environment refers to the external forces that affect all businesses and are beyond the control of any single organisation. Firms must monitor these elements to adapt and remain competitive. These factors influence decision-making and strategies. The key elements include:

- Demographic factors (e.g., population age, education levels)
- Economic factors (e.g., inflation, income levels)
- Technological factors (e.g., innovation, automation)
- Political and legal environment (e.g., government regulations)
- Socio-cultural factors (e.g., cultural trends, lifestyle changes)
- Natural environment (e.g., climate, environmental regulations)

2a. What are the five stages of the consumer buying decision process? [K] / [CO2]
(2 marks for listing, full for listing and single-line explanations)

The five stages of the consumer buying decision process are:

1. Problem/Need Recognition – The buyer identifies a need or problem.
2. Information Search – The buyer gathers information about how to satisfy the need.
3. Evaluation of Alternatives – The buyer compares different products or brands.
4. Purchase Decision – The buyer selects a product and makes the purchase.
5. Post-Purchase Behaviour – The buyer evaluates the purchase decision, leading to satisfaction or dissatisfaction.

2b. What are the different levels of market segmentation? [K] / [CO2]
(2 marks for listing, full for listing and single-line explanations OR listing and one example each)

The different levels of market segmentation include mass marketing, segment marketing, niche marketing, and micromarketing.

- Mass marketing targets everyone with one message; for example, *Lifebuoy soap* promotes hygiene for all.
- Segment marketing targets groups with similar traits; for instance, *Raymond* offers separate lines for formal menswear and youth fashion.
- Niche marketing focuses on specific needs, like *Amul Lactose-Free Milk* for lactose-intolerant consumers.
- Micromarketing targets a highly specific group; for example, *Fabindia* customises products based on regional textile preferences in India.

3a. Define promotion. What factors determine the choice of promotion mix? [K] / [CO3]
(2 marks for correctly explaining promotion and 1 mark for listing at least 2 factors)
Promotion refers to all the activities undertaken by a company to communicate, inform, persuade, and influence consumers to purchase its products or services.
Promotion refers to the applied communication used by marketers to exchange persuasive messages and information between the firm and its various publics.
Factors determining promotion mix

- Nature of the product,
- Target market characteristics,
- Promotional objectives,
- Budget availability,
- Competitive strategies,
- Product life cycle.

3b. What are the four stages of the Product Life Cycle? What happens to sales and profits in the Growth Stage [U] / [CO3]
(This is an "*understand*" level question. Hence, 1 mark for listing the stages and 2 marks for "*understand*" level part of the question.)

Four stages of the PLC (1 mark)

1. Introduction
2. Growth
3. Maturity
4. Decline

In the Growth Stage:

- Sales **increase rapidly.** (1 mark)
- Profits **rise** due to economies of scale. (1 mark)

4a. Mention any three characteristics of Services [U] / [CO4]
(This is an *understand level* question. Any three characteristics have to be explained, *preferably* with an example.)

1. Intangibility: Services cannot be seen, touched, or stored before purchase.
Example: You cannot touch or try out a haircut before getting it.
2. Inseparability: Services are produced and consumed simultaneously. The service provider is often present during the delivery.
Example: A doctor must be present to perform a check-up.
3. Variability: Service quality can vary depending on who provides it, when, and how.
Example: The same restaurant might offer different levels of service on two different days.
4. Perishability: Services cannot be stored for later use or sale.
Example: An empty airline seat or a missed tuition class cannot be resold.

4b. State the primary purpose of content marketing. [K] / [CO4]
(**Full Marks could be given for explaining only the purposes of content marketing)**

Content marketing is a strategic marketing approach focused on creating and distributing valuable, relevant, and consistent content to attract and retain a clearly defined audience — and, ultimately, to drive profitable customer action. Instead of directly promoting a product or service, content marketing provides useful information, entertainment, or insights that solve customer problems or enhance their lives, thereby building trust and loyalty over time.
Examples of content marketing: Blogs explaining how to use a product or solve a common problem, YouTube videos that demonstrate product tutorials or reviews., Infographics that simplify complex industry data, Social media posts that engage audiences through storytelling.
The primary purpose of content marketing is to attract, engage, and retain a clearly defined target audience by creating and sharing valuable, relevant, and consistent content. Instead of directly promoting a brand, content marketing aims to build trust and long-term relationships with customers by providing useful information that solves problems or meets their needs, ultimately driving profitable customer action.

5a. A healthcare company wants to build brand credibility after receiving negative media coverage. Suggest one public relations strategy it can use. [A] / [CO3]
Any public relations strategy could be given. Full marks could be given for stating and giving a small explanation of any strategy.

Some examples for public relations strategies that could be used here is given below (not an exclusive list):

- Community Outreach and CSR Initiatives: Organise free health check-up camps, blood donation drives, or wellness programs.
- Partner with NGOs for public health awareness campaigns.
- Issue press release addressing the concerns. Arrange press conferences or interviews with senior leadership or medical experts to clarify facts.
- Highlight corrective actions taken and emphasise patient safety or ethical standards.
- Collaborate with trusted doctors, healthcare professionals, or influencers to advocate for the brand.
- Positive testimonials from experts can reassure the public and rebuild credibility
- Patient Expert Endorsements, Testimonials and Case Studies: Share real-life recovery stories or successful treatment cases
- Crisis Management Team: Set up a professional PR crisis management team to respond quickly to misinformation or negative press. Monitor social media and news platforms for brand mentions and respond professionally and promptly.
- Use social media platforms like Instagram, LinkedIn, or X (formerly Twitter) to engage directly with the public. Address concerns, share behind-the-scenes improvements, and encourage feedback.

- Collaborate with reputable hospitals, institutions, or research bodies to enhance credibility.

5b. What is product mix consistency? (1 mark). How does altering product mix consistency help a company? (2 marks for any two benefits) [U] / [CO3]

Product mix consistency refers to how closely related the various product lines in a company's product mix are in terms of their end use, production processes, distribution channels, or target markets.
Altering product mix consistency can help a company in multiple ways depending on whether it chooses to increase or decrease consistency.

1. Increasing Product Mix Consistency

This means making the product lines more closely related in terms of use, production, or distribution. This will Increase specialisation and operational efficiency by focusing on related products that share production or marketing efforts. Other Advantages:

- Operational Efficiency: Sharing production, logistics, or marketing resources lowers costs.
- Stronger Brand Identity: A focused product range strengthens brand image and credibility.
- Easier to manage and coordinate related product lines.
- Consistency builds customer trust and loyalty.

2. Decreasing Product Mix Consistency

This involves adding product lines that are unrelated to existing ones (diversification). Expand into new markets or customer segments by adding less-related product lines, allowing diversification and reducing business risk. This helps a company to grow by entering new areas. Other Advantages:

- Market Expansion: Entering new markets with different needs and preferences.
- Risk Reduction: Diversifying reduces dependency on one industry or product category.
- New Revenue Streams: Unrelated products may tap into more profitable or faster-growing segments.
- Innovation Opportunities: Exploring new technologies and business models.

Part B

Short Essay

A choice between two options for each question, answer three short essay questions, one from each pair

6a. Explain the Production concept with examples. (4 marks for explaining the concept and 1 mark for example(s)) [K] / [CO1]

The production concept is one of the oldest marketing philosophies, which holds that consumers prefer products that are affordable and widely available. Companies following this concept focus on achieving high production efficiency, low cost, and mass distribution. The belief is that efficiency in production and distribution will lead to higher profits. The philosophy is "If you make it, they will buy it."
Some Characteristics of the production concept:

- Emphasis on large-scale manufacturing and economies of scale.
- Companies focused on producing goods as efficiently as possible to meet high demand.
- Assumes customers prioritise product availability and affordability.
- Marketing was not a primary concern; products often sold themselves due to limited competition and high demand.
- Goal of reducing costs and improving production efficiency.
- Maximise profit

Examples:

- Henry Ford’s assembly line production of the Model T
- Companies like Patanjali or Nirma focused initially on offering low-priced products with wide availability to capture market share.
- Amul, in its early days, followed the production concept by ensuring milk products were affordable and available across India through an efficient supply chain.

6b. How do B2B marketing strategies differ from those in B2C markets? [U] / [CO1]

B2B marketing refers to the marketing of products or services from one business to another business. B2C marketing refers to the marketing of products or services directly from a business to individual consumers. The common differences between them are:

Aspect	**B2B Marketing**	**B2C Marketing**
Target Audience	Other businesses	Individual consumers
Buying Process	Rational and longer; based on logic	Emotional and quicker decisions
Sales Cycle	Longer; involves multiple decision-makers	Shorter; fewer people involved
Marketing Focus	Relationship-building and personalization	Mass marketing, branding, and appeal
Example (any example could be given)	Tata Steel selling to car manufacturers	Tata selling cars to individuals

7a: Ramesh, a young IT professional from Chennai, recently moved to Delhi for work. Being from South India, he prefers eating traditional meals like dosa and idli. However, in Delhi, he notices that most people prefer parathas, chole bature, and fast food. Over time, he starts adapting to the local food habits but still craves South Indian dishes. Explain which factor is affecting his buying behaviour. [A] / [CO2]
(Since it is an *apply* level question, more marks should be given for identifying the factor that explaining the factor)

Identifying the factor **(3 marks):** The factor affecting Ramesh's buying behaviour is **Cultural Factors (or subculture).** Culture refers to the values, customs, traditions, and food habits that shape consumer preferences.
Analysing why? (2 marks) (Marks could be given to any logical explanation)
Ramesh, being from South India, is culturally inclined towards dosa and idlis. However, after moving to Delhi, he is exposed to a new culture where North Indian food is more popular. This cultural shift is influencing his buying behaviour, leading to an adaptation of new preferences while still retaining his original food choices.

7b. Define experiential marketing (2 marks) and its core characteristics (3 marks) [U] / [CO2]

Experiential Marketing is a strategy that focuses on creating memorable customer experiences through direct engagement. It involves consumers actively participating in a brand experience rather than passively receiving a marketing message. Experiential marketing recognizes that customers are driven not just by the functional benefits of a product but also by the feelings, stories, and values associated with it.
Example: Nike's experiential marketing campaigns: Through initiatives like the "Nike Run Club" and in-store customization experiences, Nike allows customers to connect with the brand on a personal level. Customers can participate in community runs, track their progress through the Nike app, and design their own shoes, making the brand a part of their lifestyle.
Characteristics of Experiential Marketing: (3 marks)

1. Customer-Centric: The focus is on the customer's needs, preferences, and emotions. Businesses aim to create a deep connection with customers by understanding their desires and aspirations.
2. Experience-Driven/ Interactive: Experiential marketing creates immersive and interactive

experiences that allow customers to engage directly with the brand.

3. Bidirectional Communication: Customers are encouraged to interact with the brand, share feedback, and co-create value.
4. Focus on Loyalty and Advocacy: This approach builds long-term relationships by fostering positive emotional associations, turning customers into brand advocates.
5. Engagement: Involves the customer directly through events, demos, or interactive platforms.
6. Emotional Connection: Aims to create a personal and emotional bond with the brand.
7. Memorability: Creates long-lasting impressions that influence future buying behaviour.
8. Personalisation: Often tailored to the interests and lifestyle of the target audience.

8a. What is differential pricing? What are the various basis for differential pricing? [K] / [CO3]

Differential pricing refers to the practice of charging different prices for the same product to different customer groups or under different conditions. (2 marks)

Bases for Differential Pricing: (3 marks)

1. Customer Segment Pricing: Different prices for students, seniors, etc.
2. Geographical Pricing: Prices vary based on region (e.g., metro vs rural).
3. Time-based Pricing: Prices vary based on time (e.g., peak vs off-peak).
4. Channel Pricing: Prices vary across online and offline platforms.
5. Usage-based Pricing: Prices vary based on quantity or usage levels.

8b. Explain the functions of marketing channels. How does risk-taking function affect intermediaries in a distribution channel? [U] / [CO4]

Functions of Marketing Channels (each function need to be explained with example) (3 marks)

1. Transaction Functions: Buying, selling, and risk-taking.
2. Logistical Functions: Storing, sorting, transporting goods.
3. Facilitating Functions**:** Financing, grading, and providing market information.

Effect of risk-taking function on intermediaries in a distribution channel: (2 marks, any two points)

This refers to the uncertainties in carrying out marketing functions, like holding inventory that may become obsolete or damaged. Intermediaries such as retailers, wholesalers or distributors bear these risks. These intermediaries bear the risk associated with unsold inventory, price fluctuations, damage, theft, or changes in consumer preferences.

Effects on Intermediaries (suggestive list only)

- Inventory Risk: Intermediaries may face losses if products do not sell as expected or become obsolete.
- Financial Risk: They invest capital in stocking goods. If sales are lower than expected, it affects cash flow and profitability.
- Demand Fluctuation Risk: Sudden changes in customer demand (seasonal changes, trends) can result in overstock or stockouts.
- Product Damage or Spoilage: Particularly in case of perishable or fragile goods, intermediaries risk loss if products are not sold in time or are damaged.
- Price Changes and Obsolete Stock: If the manufacturer reduces the price or launches a new version, intermediaries with old stock may suffer losses.

Part C

Long Essay

A choice between two options for each question, answer two long essay questions, one from each pair

9a. Explain the four broad bases for segmenting the consumer market. Substantiate with examples for each. [U] / CO2]

(5 marks each for the 4 methods of segmentation. 4 marks for explanation, sub categories and characteristics if any and 1 mark for example)

Market segmentation is the process of dividing a broad consumer market into sub-groups based on shared characteristics. The four broad bases for segmenting the consumer market are:

A. Geographic Segmentation:

Geographic segmentation refers to divide markets based on geography. customers' geographic criteria can significantly affect their needs as consumers. This divides the market based on location such as region, city, climate, or population density. Consumers from different geographic areas have varying needs. .

Geographic segmentation elements include:

Region or area, such as country, state, province, county, town or city

Size, such as population or population density.

Climate, such as weather patterns,

Example:

LG Electronics, the leading electrical appliances company markets for its heaters in cold geographical areas whereas the same company markets for Air Conditioners in hot geographical areas.

A clothing brand offering woollen garments in North India during winter and light cotton clothes in South India due to hot weather.

B. Demographic Segmentation:

The most common way to identify a consumer market is by demographic segmentation, which refers to the criteria most businesses use to understand how groups of their target market are different from one another. This is one of the widest market segmentation, marketers divide customer population based on different variables in this segmentation. This is based on age, gender, income, education, occupation, religion, and family size, etc. Segmenting your target market by demographics is essential because these criteria affect their individual needs. For example, a man in his early 30s has different preferences than a woman in her late 60s. If your business sells shoes, you cannot appeal to both demographic segments in the same way. The young man may be interested in athletic name-brand shoes, while the older woman may want comfortable sandals with arch support.

The criteria for demographic segmentation includes:

Gender , Age, Family status, Sexual orientation, Occupation, Income, Education, Religion, Ethnicity, Nationality

***Example*:** Hindustan Unilever markets Fair & Lovely (now Glow & Lovely) targeted mainly towards women in the middle-income group. Kelloggs that offers different cereal brands for kids and adults, healthy eaters and weight watchers, etc.

C. Psychographic Segmentation:

Psychographic segmentation considers the psychological aspect of how the potential customer responds to a product. This type of market segmentation targets the lifestyle, activities, interests and opinions of potential customers. People within the same demographic group can exhibit very different psychographic profiles. A consumer's psychographic qualities affect which products and services they buy. Consumer's interests and activities determine the products and services they buy. By understanding a segment's values, attitudes, interests and activities, businesses can market the right products to them in the right way. Some of the psychographic bases of segmentation.

- Values, such as what they believe to be important to them, including family, community, money or success.
- Attitudes and opinions, such as how they feel about a political party or toward a key social issue. Some consumers only support companies that are in line with their political or social beliefs.
- Interests, such as what kinds of movies they watch or what their hobbies are.
- Activities, such as whether they play a sport or instrument or enjoy a cooking a particular kind of cuisine

- Social class.
- Lifestyle
- Personality

Example: Titan's Fastrack targets the young, adventurous and fun-loving youth segment. Mountain Dew uses a marketing strategy that promotes its product by associating masculinity and a daring personality with the brand's drinkers, targeting young individuals who crave such a personality and associate themselves with it.

D. Behavioural Segmentation:

Behavioural segmentation refers to customer segmentation based on how they use, behave or make decisions related to a product. Behavioural segmentation includes:

- Benefits consumers are looking for from the product
- Whether they have previously bought the product
- How often they need the product or how often they use the product
- How ready they are to buy the product right now
- Whether they feel loyal toward your brand
- When they buy the product, such as on holidays or for specific milestones.

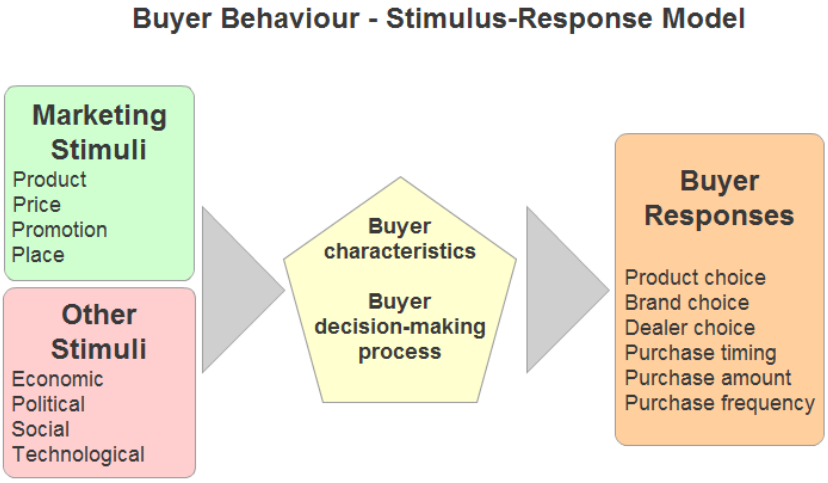
In this category, the following bases are adopted to segment the markets.

- Occasions: Buyers can be distinguished according to occasions when they get the idea of buying or make a purchase or use a product. For example, tourist travel is influenced by occasions related to festivals, vacations, etc. A tourist bus Operator can specialise in serving people during one of these occasions.
- User status: Such as non-users, ex-users, potential. users, first-time users and regular users.
- Usage rate: Markets can also be segmented on the basis of extent of usage of the product as light, medium, and heavy user groups.
- Loyalty status: A market can also be segments by consumer loyalty patterns. Loyalty status. Includes *Hardcore loyalists* who buy one brand all the time, *Soft-core loyalist* who are loyal to two or three brands all the time, *Shifting loyalists* who shift from one brand to another., *Switchers* who show no loyalty to any brand.
- Type of Buying Situations: Three types of buying situations: 1) new buy, 2) modified buy, and 3) straight re-buy.

9b. Explain the components of the Stimulus-Response Model. Explain using a suitable example.
[U] / [CO2]
(15 marks for explaining the Model with all the components. 5 marks for any suitable example)

The Stimulus-Response Model in marketing explains how external marketing stimuli and other factors influence a consumer's buying behaviour. It includes the following components:

Components of the Stimulus-Response Model



1. Stimuli (Input)

These are external factors influencing the consumer's decision-making process.

- Marketing Stimuli: The 4Ps (Product, Price, Place, Promotion).
- Environmental Stimuli:
  - Economic conditions.
  - Technological changes.
  - Political and cultural influences.
- Example: A smartphone ad with a discount offer grabs the consumer's attention.

2. Consumer's Black Box (Processing)

The "black box" represents the internal thought processes of the consumer, which are hard to observe directly.

- Buyer Characteristics:
  - Psychological factors (motivation, perception, learning, beliefs).
  - Personal factors (age, income, lifestyle).
- Decision-Making Process:
  - Problem Recognition: Realizing a need.
  - Information Search: Gathering details about solutions.
  - Alternative Evaluation: Comparing options.
  - Purchase Decision: Choosing and buying.
  - Post-Purchase Behaviour: Evaluating satisfaction and loyalty.
- Example: A consumer evaluates the features of two smartphones before buying one.

3. Response (Output)

This is the result of the decision-making process and shows how the consumer responds to the stimuli.

- **Key Responses**:
  - Product choice.
  - Brand choice.
  - Purchase timing.
  - Purchase frequency.
- **Example**: The consumer purchases a smartphone after seeing an ad and evaluating alternatives.

Example of the Stimulus-Response Model in Action

- Stimuli: A 20% discount on a popular smartphone is advertised through social media.
- Black Box: The consumer evaluates whether the smartphone satisfies their need for better photography and affordability.
- Response: The consumer buys the smartphone, feeling confident it meets their requirements.

This model emphasizes the importance of understanding what influences consumers to act and helps marketers design strategies to stimulate desired responses.

Example:
A customer sees an Instagram ad (promotion – marketing stimulus) for a new herbal shampoo that is eco-friendly (aligned with cultural values – environmental stimulus). They consider their need for chemical-free hair care (black box), compare it with other brands, and decide to buy the shampoo online (buyer response).

10a) Case:

WeaveIndia is a Kerala-based startup specialising in hand woven cotton sarees and dupattas made by rural artisans. The brand is known for its premium, handcrafted appeal and targets customers who appreciate traditional textiles. To expand its market reach, the company is considering adding new products:
a) Cotton tote bags with handloom fabric for eco-conscious shoppers.
b) Luxury silk stoles and shawls targeting urban professionals.
c) Handwoven cushion covers and table runners for home décorlovers.
Questions:
i) How should WeaveIndia categorise the new product lines—shoppinggoods, convenience goods, or specialty goods? Provide reasons for each.
ii) What marketing strategies with respect to pricing, promotion, distribution should be used for each classification? [A] / [CO3]
(Merit could be given for a proper introduction and conclusion in a case study analysis – max 2 marks
Question i): 3 marks each for correct categorisation and reason
Question ii): 1 mark each for reasonable marketing strategies for 1) pricing, 2) promotion and 3) distribution for each classification

Case Background/ Introduction:

WeaveIndia is a Kerala-based startup specialising in premium, handcrafted cotton sarees and dupattas made by rural artisans. The brand targets customers who appreciate traditional textiles. To expand its market reach, WeaveIndia is considering diversifying its product line to include:

- (a) Cotton tote bags with handloom fabric for eco-conscious shoppers
- (b) Luxury silk stoles and shawls for urban professionals
- (c) Handwoven cushion covers and table runners for home décor lovers

i) Categorisation of New Product Lines

1. Cotton Tote Bags (eco-conscious shoppers)
   Category: *Shopping Goods*
   Reason: Shoppers will likely compare designs, sustainability, price, and utility before purchase. These are not bought impulsively like convenience goods but not exclusive enough to be specialty goods either.
2. Luxury Silk Stoles and Shawls (urban professionals)
   Category: *Specialty Goods*
   Reason: These are high-involvement products known for exclusivity, craftsmanship, and prestige. Customers may go out of their way to seek them due to brand perception and quality.
3. Handwoven Cushion Covers and Table Runners (home décor lovers)
   Category: *Shopping Goods*

Reason: Buyers usually compare materials, aesthetics, and pricing to match their interior preferences. These are purchased with planning and consideration.

ii) Recommended Marketing Strategies (Any reasonable and sound strategy can be admitted as correct. This is only a suggestive list)

Product Line	Pricing Strategy	Promotion Strategy	Distribution Strategy
Cotton Tote Bags	Competitive pricing or value-based pricing	Promote eco-friendly benefits on social media, and collaborate with sustainability influencers	Sell via online platforms, eco-friendly stores, pop-ups
Luxury Silk Stoles and Shawls	Premium pricing to reflect exclusivity and quality	Showcase craftsmanship through storytelling, influencer tie-ups, luxury fashion events	Selective distribution – boutique outlets and brand's site
Handwoven Cushion Covers & Table Runners	Mid-range pricing with bundling options	Visual marketing via Instagram/Pinterest; collaborate with interior décor bloggers and creators	Online platforms, home décor stores, and exhibition

10b) What are the stages in New Product Development? Explain the factors that influence the development of a New Product with examples. [U] / [CO3]

Stages in New Product Development (10 marks)

The process of developing a new product involves the following **stages**:

1. Idea Generation

- This is the stage of collecting new product ideas from internal or external sources.
- Sources: R&D teams, customers, competitors, employees, or market research.
- Example: A mobile company gets the idea to launch a foldable smartphone.

2. Idea Screening

- Involves evaluating and filtering ideas to select those with the highest potential.
- Poor ideas are rejected early to save time and costs.
- Example: The company drops the idea of a solar-powered phone due to technical limitations.

3. Concept Development and Testing

- A detailed version of the idea is developed and tested with target consumers.
- Customer feedback helps refine the concept.
- Example: Testing different versions of a new snack flavor with a focus group.

4. Business Analysis

- Analysis of the product's profitability, market potential, costs, and break-even point.
- Example: Estimating cost of production and expected revenue for a new health drink.

5. Product Development

- A prototype or working model of the product is developed.
- It undergoes lab and consumer testing.
- Example: Developing a trial version of an electric bike and testing performance.

6. Test Marketing

- The product is introduced in a limited market to measure consumer response.
- Helps identify flaws and improve the product before full launch.
- Example: A shampoo brand launches in Kerala and Tamil Nadu before going national.

7. Commercialisation

- The final product is launched in the market with full-scale production, distribution, and promotion.

- Example: Nationwide launch of a new instant coffee brand with ads and availability across outlets.

Factors Influencing New Product Development (10 marks for any 5 factors)

1. Market Demand
   - Products must meet real customer needs or solve problems.
   - Example: Rise in demand for vegan foods leads to new plant-based products.
2. Technology
   - Technological advancements create new possibilities for product innovation.
   - Example: 5G technology enables development of faster, smarter phones.
3. Technical feasibility: Ensuring product development is practical.
4. Financial resources: Having adequate funding for R&D and marketing.
5. Other Company Resources
   - Talent, infrastructure, and technical expertise determine feasibility.
   - Example: A startup may not afford to develop complex hardware devices.
6. Competitor Actions
   - To stay competitive, firms must monitor and sometimes respond to rivals' product launches.
   - Example: When Samsung launches foldable phones, other brands follow.
7. Legal & Regulatory Environment
   - Compliance with safety, quality, and environmental regulations is necessary.
   - Example: Food products must meet FSSAI standards in India.
8. Trends and Innovation
   - Changing lifestyles, fashion, and social values influence NPD.
   - Example: Growth in fitness trends leads to development of smartwatches and fitness bands.
9. Customer Feedback
   - Insights from existing customers guide improvements or inspire new ideas.
   - Example: A telecom company launches a low-cost plan after user demand.

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